

# Practice Quiz — Organizational Learning from Innovation

## Part A: Multiple Choice

1. Instagram's pivot from Burbn to Instagram is best classified as:

- A) Parameter updating — adjusting the existing model's weights
- B) Model restructuring — replacing the generative model's structure based on evidence that the old structure was wrong
- C) A random decision unrelated to evidence
- D) A marketing rebrand with no fundamental model change

1. In customer feedback, behavioral data (usage analytics, retention rates) is generally higher precision than stated data (surveys, feature requests) because:

- A) Behavioral data is cheaper to collect
- B) Behavioral data reflects actual free energy minimization decisions, while stated data reflects self-models that may be inaccurate
- C) Customers deliberately lie in surveys
- D) Behavioral data is more recent

1. Eric Ries' concept of "validated learning" corresponds to:

- A) Learning that is approved by management
- B) Learning backed by empirical evidence from real market behavior, confirming model predictions are becoming more accurate
- C) Learning from academic courses and training programs
- D) Learning that validates the founder's original vision

1. The SECI model describes knowledge conversion cycles. "Externalization" refers to:

- A) Hiring external consultants to provide knowledge
- B) Converting tacit knowledge into explicit documented form
- C) Sending employees to external training
- D) Publishing company information publicly

1. When should an organization pivot rather than iterate?

A) Whenever quarterly revenue declines B) When accumulated evidence supports an alternative generative model more strongly than the current model, even after accounting for switching costs C) When investors recommend a change of direction D) Whenever a competitor launches a new product

1. Amazon's "two-pizza team" structure supports organizational learning by:

A) Reducing food costs at company meetings B) Creating multiple semi-independent inference agents that can test models in parallel C) Ensuring teams are small enough to avoid conflict D) Matching the organizational structure of Amazon's main competitor

1. Google's "20% time" policy functioned as an organizational mechanism for:

A) Reducing employee workload B) Maintaining exploration capacity alongside exploitation, enabling the generation of novel model hypotheses C) Complying with labor regulations D) Allowing employees to work on personal projects unrelated to the company

## **Part B: Short Answer and Analysis**

1. Slack emerged from the failure of a video game (Glitch). Analyze this pivot using Bayesian model comparison: What was the evidence against the game model? What was the evidence for the communication tool model? Why did the evidence justify model restructuring rather than parameter updating?
2. Design a feedback loop for a new food delivery app that has been operating for three months. Specify: (a) three high-precision evidence sources and what each tests, (b) two low-precision evidence sources and why they should be weighted less heavily, and (c) how you would determine whether prediction errors warrant parameter updating or a pivot.
3. Your organization has learned a critical lesson from a product failure — specifically, that your target market requires certification by a specific industry body before they will adopt new technology. Design a knowledge management process that ensures this learning: (a) is documented explicitly, (b) is incorporated into future product development processes, and (c) persists even as team membership changes.